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Experiment 7: Defining Metrics (KPIs and KRIs)

Objective

To set up a risk calculation method in Eramba and derive measurable risk indicators from Likelihood, Impact, and the resulting Risk Score.

Steps Followed

1. Opened Risk Management, then Settings, then Calculation Method.
2. Chose the Threshold calculation method.
3. Enabled the Threshold method.
4. Confirmed that the score is derived as Likelihood x Impact.
5. Made sure the required Likelihood and Impact classifications were configured.
6. Saved the calculation method.
7. Opened Business Risks and selected a configured entry — Business Interruption.
8. Opened the Analysis tab for that risk.
9. Checked the Risk Analysis Classification and the resulting Risk Analysis Score.

Outcome

The Threshold method — based on a Likelihood x Impact matrix — was configured successfully. For the Business Interruption risk, a Medium Likelihood combined with a Very High Impact produced a Risk Analysis Score of 6, confirming that risk indicators can be derived consistently using this method.